

Axion — Investment and Funding Decisions: Detailed Discussion

Based on the APC 2026 September QE2 pre-release for Axion Digital Infrastructure (Pty) Ltd, a South African data-centre business that also provides interconnection services. Parts A and B set out the discussion concepts (the toolkit). Parts C and D then apply that toolkit, in the same format and depth, to every investment opportunity and every funding option in the pre-release. Each point states the concept, explains briefly what it means, applies it specifically to Axion, and links it to the overall impact on the business.

Axion facts used throughout (pre-release, FY2026): five data centres in Johannesburg (2), Cape Town (2) and Durban (1); 45 MW installed, 40 MW contracted, 35 MW utilised; 354 customers; revenue R2.62bn; EBITDA R1 116m; operating profit R700m; finance costs R375m; profit before tax R325m; interest-bearing borrowings R4 850m (up from R3 150m and R3 950m); PPE R10 250m; equity about R5 400m; interest cover (operating profit ÷ finance costs) 2.04 then 1.95 then 1.87 times. Strategy: GROW, CONNECT, POWER, MATURE, with R3–R5bn of investment under consideration over five years and three funding options on the table.

PART A — THE INVESTMENT-DECISION TOOLKIT (concepts to raise)

An investment-decision discussion weighs strategic fit, financial return, risk, and the practical ability to deliver. Axion's own stated approach is to appraise projects on incremental pre-tax cash flows, at a project-specific cost of capital, using a pre-tax project NPV, and to let the funding reflect the project. A competent answer never recommends on the numbers alone, nor rejects on strategy alone; it integrates the strands and concludes.

1. Strategic factors (does the project fit what the business is becoming?)

- **Strategic alignment:** whether the project supports the direction and long-term goals already chosen. Buying additional chillers to expand a data centre's cooling capacity lets Axion contract out more of its installed megawatts, which supports the GROW priority of increasing installed capacity in Johannesburg and Cape Town and the CONNECT priority of deepening the ecosystem. This matters because aligned investment builds sustainable, recurring earnings rather than a once-off gain.
- **Competitive advantage and positioning:** whether the project strengthens something the business does better than rivals. Expanding where Axion already has an interconnected ecosystem increases the density of customers, networks and cloud providers that can connect to one another, which rivals cannot easily replicate. This matters because a stronger position protects pricing and customer retention, supporting future profitability.
- **Core competency and capability fit:** whether the project uses skills and assets the business already has. Adding colocation capacity uses Axion's existing expertise in secure space, power, cooling and resilient facility management. This matters because staying close to core competencies lowers execution risk and improves the chance of delivering the forecast returns.
- **Market demand and growth outlook:** whether there is genuine, durable demand. Cloud adoption, AI and Africa's digital economy are expected to raise demand for capacity in South Africa and selected African markets. This matters because only real, contractable demand turns capacity into cash-generating revenue, and it must be challenged rather than assumed, as the CEO himself frames the question as how fast to grow, not whether demand will grow.
- **Scalability and optionality (phasing and real options):** whether the investment can be built in stages and expanded or paused. JHB4 is brought into service in phases as capacity is contracted, so capital is committed in tranches. This matters because phasing reduces the risk of stranded capacity, preserves cash, and keeps the option to expand, which protects the financial position.
- **Customer proposition and reliability:** whether the project protects the promise sold to customers. Investing in redundant power, cooling, UPS, batteries and backup generators supports Axion's 99.999% availability target. This matters because reliability underpins the whole recurring-revenue base, and an outage would damage contracts, reputation and provisions.
- **Sustainability and ESG:** the environmental, social and governance consequences. Securing renewable electricity through a PPA, on-site solar or wheeling reduces grid reliance and the environmental impact that customers and stakeholders increasingly scrutinise. This matters because strong sustainability credentials can win contracts with global cloud customers, reduce long-term power cost and risk, and protect the licence to operate.

2. Financial evaluation (does the project create value?)

- **Pre-tax project NPV:** the value added today after discounting incremental future cash flows at the required return. Axion appraises on incremental pre-tax cash flows at a project-specific pre-tax cost of capital and accepts only if the pre-tax NPV is positive. This matters because a positive NPV means the project earns more than the cost of its capital, directly increasing shareholder value.
- **Incremental and relevant cash flows:** only the cash flows that change because the project proceeds. For extra chillers, the additional colocation and separately-metered power-recovery revenue from newly contracted megawatts, less the additional power, cooling and maintenance. This matters because using only incremental flows keeps the appraisal honest.
- **Sunk costs and non-incremental overheads (exclude):** costs already spent, or that do not change, are left out. Feasibility or design work already paid for is sunk, and existing head-office overhead that will not increase is excluded. This matters because including irrelevant costs can wrongly sink a value-adding project.
- **Opportunity cost:** the value given up by using a resource already owned. Building on the undeveloped site must include the market value or alternative use forgone by not selling or leasing that land. This matters because ignoring it overstates the return and misallocates scarce capital.
- **Pre-tax versus after-tax consistency:** the cash flows and the discount rate must be on the same basis. Axion's framework is expressly pre-tax, so a pre-tax rate is applied to pre-tax cash flows and not mixed with an after-tax model. This matters because mixing bases produces a meaningless NPV and an unreliable decision.
- **Project-specific cost of capital (ungear and regear beta):** a discount rate reflecting the specific project's risk and funding, exactly as the pre-release describes: take a comparable company's equity beta, remove its gearing to get the underlying (operating) beta, then regear to the project's proposed capital structure to get the project beta, and build the project rate. This matters because a single group rate would over-reward risky projects and under-reward safe ones, distorting which projects are approved.
- **IRR, discounted payback and profitability index:** supporting measures: the return at which NPV is nil, the discounted time to recover the outlay, and the value per rand invested. With R3–R5bn of budget but a pipeline that exceeds it, ranking projects by value per rand invested helps allocate scarce capital. This matters because it directs funding to the highest-value projects and flags obsolescence exposure through payback.

- **Tax allowances and the tax shield:** the tax reduced by capital allowances. The CFO's power document links to the SARS income-tax guide, signalling that renewable-generation assets may qualify for accelerated allowances under sections 12B, 12BA or 12U, while plant such as chillers and generators attracts wear-and-tear allowances. This matters because allowances bring tax relief forward and improve project cash flow, but only where ownership, asset and first-use eligibility are genuinely supported.
- **Terminal value, inflation and sensitivity:** the end-of-horizon value, consistent inflation treatment, and testing key assumptions. Include a terminal value for a long-life data centre, keep inflation consistent between cash flows and rate, and flex the contracted and utilised megawatts, the electricity tariff and the grid-connection date. This matters because it captures long-term value and shows how robust the decision is.

3. Risk factors (what could stop it delivering?)

- **Operational and reliability risk:** the risk that operations underperform — for Axion, power, cooling and uptime against the 99.999% target. This matters because operational failure erodes the very cash flows the NPV relies on and can trigger contract penalties.
- **Execution and delivery risk:** the risk of being late or over budget. The pre-release flags that grid-connection timing is critical and that new connections can require substantial lead times depending on network capacity. This matters because a delay extends financing cost with no revenue and can impair the asset; stage gates tied to grid, contracts and funding manage it.
- **Financial risk and gearing:** the risk from how the project is funded. Borrowings have risen from R3 150m to R4 850m while interest cover has fallen from 2.04 to 1.87 times, so further debt raises financial risk. This matters because higher gearing increases the cost of financial distress and reduces the headroom to absorb a downturn.
- **Country, concentration and obsolescence risk:** South African electricity-supply and tariff risk, currency risk on imported equipment, dependence on a few large cloud customers, and evolving technology as AI demands higher power densities. This matters because these make the forecast cash flows less reliable and may justify a higher project discount rate and phased, upgradeable investment.

4. Non-financial feasibility (can Axion actually deliver it?)

- **The pre-release's own constraints — power, capital, land, people, sustainability and organisational capacity:** whether the practical enablers exist to deliver the project. New capacity needs very large, reliable power and grid access; capital is committed upfront long before full revenue; suitable land must have power, connectivity and planning approval; specialist skills are scarce; sustainability is under scrutiny; and rapid growth strains systems, controls and governance (the MATURE priority). This matters because power and delivery capability are the binding constraints, so a project without secured power or execution capacity should be delayed regardless of its NPV.

Overall financial framework — a pre-tax project NPV calculation

Step 1 — Build the incremental pre-tax cash flows: the Year-0 outlay (capex, installation, working capital), the annual incremental colocation, power-recovery and interconnection revenue from newly contracted megawatts less the incremental power, cooling, maintenance and staffing, and the terminal value; exclude sunk costs and include the opportunity cost of any land or capacity used.

Step 2 — Determine the project-specific pre-tax discount rate: take a comparable data-centre company's equity beta, ungear it to the underlying beta, regear it to the project's proposed capital structure, derive the required return, and build a pre-tax project rate consistent with the pre-tax cash flows.

Step 3 — Discount each year: $PV = \text{cash flow in year } t \div (1 + r)^t$ to the power t . Step 4 — Pre-tax NPV = sum of the present values of the inflows minus the initial outlay; accept if positive. Step 5 — Support with IRR, discounted payback and profitability index, and test with sensitivity and scenario analysis on the key drivers.

Illustrative worked example (fictional) — additional chillers to unlock more contracted capacity: Year-0 outlay R120m; incremental net pre-tax cash flow R38m a year for five years; residual value R20m in Year 5; project pre-tax rate 15%. $PV \text{ of five years} = R38m \times 3.3522 = R127.4m$; $PV \text{ of residual} = R20m \times 0.4972 = R9.9m$; total $PV = R137.3m$; $NPV = R137.3m - R120m = +R17.3m \rightarrow \text{accept, subject to strategy, risk, delivery and funding.}$

PART B — THE FUNDING-DECISION TOOLKIT (concepts to raise)

The pre-release states that funding should reflect the project — its cash-flow predictability, duration and contractual support, its project-specific target capital structure, and the security, guarantees and covenants involved, noting that project-level funding does not necessarily transfer risk away from Axion.

- **Cost of capital:** the return each source requires. Debt is cheaper than equity because lenders rank ahead of shareholders and interest is tax-deductible; equity is dearer. This matters because the funding mix sets the hurdle the project must clear.
- **Capital structure and target gearing:** the debt-equity balance aimed for. Axion is already meaningfully geared (borrowings R4 850m against equity of about R5 400m), so there is limited room for much more debt. This matters because straying from a sensible target raises distress risk and can increase the overall cost of capital.
- **Debt-service capacity and interest cover:** the ability of cash flows to meet interest and repayments. Interest cover has fallen from 2.04 to 1.87 times as finance costs have risen to R375m. This matters because weak cover limits how much further debt is prudent and is exactly what lenders and covenants test.
- **Control and dilution:** the effect on ownership and control. New equity dilutes the founder-CEO Kabelo Moleke's 18%, co-founder David Low's 7% and the Employee & Empowerment Trust's 10%, and may add investor board rights. This matters because control is often as important to the founders and the Trust as the capital itself.
- **Covenants and security:** the conditions and collateral lenders attach. More debt is likely to tighten covenants (for example on gearing or interest cover) and security, and a breach can accelerate repayment. This matters because tight covenants reduce flexibility and can turn a manageable problem into a liquidity crisis.
- **Financial flexibility and the matching principle:** keeping headroom for the rest of the R3–R5bn pipeline, and funding long-life assets with long-term finance. This matters because preserving flexibility funds future value-adding projects, and a maturity mismatch creates refinancing and liquidity risk.

- **Project-level versus group funding:** whether a project is funded on its own cash flows or on the group balance sheet. JHB4 uses a dedicated R1.2bn facility from a syndicate of South African banks, which ring-fences the project, but the pre-release warns that guarantees, security and covenants can still transfer the risk back to Axion. This matters because the economic substance, not the legal label, decides whether the group has truly limited its exposure.
- **Companies Act and governance:** the legal steps a funding structure triggers — a share issue, any financial assistance, the solvency-and-liquidity test, and managing conflicts, especially as the Investment Committee is chaired by Ubuntu's investment director, Michael van de Wyk, and the institutional investors have director-nomination rights. This matters because a flawed process can invalidate the transaction and expose directors, and conflicts must be declared and managed.

PART C — EACH AXION INVESTMENT OPPORTUNITY, ASSESSED

The Axion 2030 programme (R3–R5bn over five years, with a pipeline that exceeds it) contains several distinct investments across the GROW, CONNECT and POWER priorities. Each is assessed below in the same format and depth.

Investment 1 — JHB4: new-build data centre (GROW)

What it is: A new Johannesburg data centre planned under the Axion 2030 capacity programme, under construction in FY2026, to be brought into service in phases as capacity is contracted, funded by a dedicated R1.2bn facility from a syndicate of South African banks, with grid-connection timing flagged as critical.

- **Strategic alignment:** JHB4 is the flagship of the GROW priority, adding installed megawatts in Johannesburg where Axion already operates two facilities and enjoys ecosystem density, to capture accelerating cloud and AI demand. This matters because it builds long-term contracted scale, but it only creates value if the new megawatts are actually contracted.
- **Phasing and optionality:** JHB4 is brought into service in phases as capacity is contracted, so capital is drawn in tranches and later phases can be paused if demand lags. This matters because it limits the risk of building megawatts that sit empty and protects cash and the already-tight gearing.
- **Incremental cash flows and pre-tax NPV:** appraise on JHB4's incremental pre-tax colocation, power-recovery and interconnection revenue from newly contracted megawatts, less incremental power, cooling, maintenance and staffing, discounted at a JHB4-specific pre-tax rate built by regearing a comparable beta to the project's structure. This matters because it shows whether JHB4 earns above its cost of capital rather than merely adding capacity.
- **Grid-connection and execution risk:** the pre-release states grid-connection timing is critical, and new connections can need long lead times depending on network capacity. This matters because a delay lengthens the period of financing cost without revenue and can impair the asset, so it should be managed with stage gates tied to grid approval, signed contracts and funding drawdowns.
- **Drawdown efficiency and negative carry:** JHB4 is funded from the R1.2bn facility, the delivery team controls drawdown timing against the contractor schedule, and because deposit rates are below the facility interest rate, drawing ahead of need creates a real net financing cost. This matters because poor drawdown timing quietly raises the project's cost, so funds should be drawn just-in-time, which is exactly what the "net interest not capitalised" scorecard measure is meant to encourage.
- **Build-ahead-of-contract risk:** because phases come into service as capacity is contracted, any completed phase that is not yet contracted immediately carries interest and depreciation. This matters because sequencing construction to contracting protects reported earnings and the interest-cover ratio.
- **Funding fit:** JHB4 uses ring-fenced project debt, matching long-term borrowing to a long-life asset, though the syndicate's guarantees and covenants may transfer risk back to the group. This matters because the funding suits the asset but must be judged on economic substance, not the project-finance label.
- **Overall impact and verdict:** JHB4 is central to strategy and likely value-accretive if demand converts into signed contracts and the grid connects on time; the decision should turn on contracted-megawatt evidence and delivery certainty, not on general digital-demand optimism, because a delayed or under-contracted JHB4 would strain both profitability and Axion's already-declining interest cover.

Investment 2 — Developing the undeveloped site (GROW)

What it is: Land Axion acquired several years ago to support future expansion, whose plans have evolved and which remains undeveloped while management considers how best to use it, with the finance team weighing the accounting implications.

- **Strategic alignment:** developing the site is a further GROW option that turns dormant, non-earning land into revenue-generating capacity in a location Axion already controls. This matters because using land already owned can produce a higher return than acquiring a new site, provided the location has power and demand.
- **Opportunity cost and accounting classification:** the appraisal must include the market value or alternative use of the land forgone (a sale or lease), and the board's current approved use drives the accounting classification (owner-occupied property, investment property, inventory or held-for-sale), with an impairment test if plans have stalled. This matters because ignoring the land's opportunity cost overstates the project's return, and the classification changes how the asset is measured and disclosed.
- **Incremental cash flows and pre-tax NPV:** because the land is already owned, the Year-0 outlay is mainly construction, but the opportunity cost of the land must still be charged to the project. This matters because it usually improves the NPV relative to buying a new site, provided the opportunity cost is honestly included.
- **Demand, location and power availability:** value depends on whether there is contractable demand in that specific location and whether a large, reliable grid connection can be secured there. This matters because, as the pre-release stresses, suitable sites need power, connectivity and planning approval, so a build without secured power is high-risk regardless of a positive NPV.
- **Execution and timing risk:** a greenfield build is longer-dated and higher-risk than expanding a live facility. This matters because its returns are more sensitive to delay and it needs disciplined stage gates and phasing.
- **Overall impact and verdict:** developing the site is attractive because the land is already owned and idle, but the decision hinges on confirmed demand, secured power and the board's approved use; if those are absent, selling or leasing the land may create more value than developing it, so the opportunity cost sets the true benchmark for the decision.

Investment 3 — Expanding capacity and utilisation at existing facilities (GROW/CONNECT)

What it is: Investing at existing sites — for example additional chillers, cooling or power plant — to bring more of the installed 45 MW into contracted and utilised service, given only 40 MW is contracted (89%) and 35 MW utilised (78%) at FY2026.

- **Strategic alignment:** adding cooling and power capacity at running facilities unlocks the gap between installed, contracted and utilised megawatts, serving GROW and CONNECT at lower risk than a new build. This matters because it is the fastest, lowest-risk route to additional contracted revenue, and the pre-release treats contracted capacity as the key indicator of future revenue.
- **Incremental cash flows and pre-tax NPV:** the outlay for chillers or plant is weighed against the incremental colocation and separately-metered power-recovery revenue from the extra contracted megawatts — the worked example above gives an NPV of about +R17.3m. This matters because expanding existing sites typically earns a high return by leveraging land, power and staff Axion already has.
- **Lower execution and grid risk:** expanding a live facility avoids greenfield construction risk and much of the grid-connection risk that affects JHB4. This matters because more reliable delivery makes the forecast cash flows more dependable.

- **Power constraint and tax:** extra megawatts still require secured power and efficient cooling, while chillers and generators attract wear-and-tear allowances. This matters because power remains the binding constraint, and the allowances improve the after-tax return.
- **Overall impact and verdict:** this is usually the best risk-adjusted use of Axion's scarce capital, because filling existing capacity strengthens profitability and utilisation quickly and cheaply; on a profitability-index ranking it should generally be prioritised ahead of new builds.

Investment 4 — Growing interconnection and the Metroloop JV (CONNECT)

What it is: Deepening interconnection services and Axion's 40% equity-accounted interest in Metroloop (Pty) Ltd, a joint venture that owns and operates a metro fibre network serving telecommunications carriers and enterprises in Gauteng.

- **Strategic alignment:** investing in cross-connects and in Metroloop serves the CONNECT priority by extending the fibre and interconnection that link customers, carriers and cloud providers across Gauteng. This matters because interconnection is higher-margin than colocation and increases customer stickiness, strengthening Axion's whole recurring-revenue base.
- **Network effects and competitive advantage:** each additional participant and fibre route makes the ecosystem more valuable to every other participant, which competitors cannot easily replicate. This matters because it creates a durable competitive advantage and supports pricing power.
- **Equity-accounted JV considerations:** Metroloop is a 40% equity-accounted joint venture, so Axion shares joint control and receives returns through its share of profit and distributions rather than full consolidation; increasing the stake or funding the JV's fibre expansion means assessing joint control, the distribution policy and exit terms. This matters because the returns and the governance arrangements, not just the cash invested, determine the value Axion actually captures.
- **Incremental cash flows and pre-tax NPV:** appraise on Axion's 40% share of Metroloop's incremental cash flows or distributions, which is relatively capital-light compared with a data-centre build. This matters because it can deliver a high return on modest capital while being strategically central to CONNECT.
- **Partner and ecosystem risk:** returns depend on the JV partner's alignment and on continued growth in Gauteng carrier and enterprise demand for fibre. This matters because misalignment or slowing participation would undermine the expected returns, so partner terms and governance are the key risks.
- **Overall impact and verdict:** interconnection and Metroloop are strategically core to Axion's connected model and are capital-light, making them a strong candidate for funding, provided the JV's governance, distribution and exit terms give Axion a clear and controllable share of the value created.

Investment 5 — Additional renewable power-purchase agreements (POWER)

What it is: Purchasing additional renewable electricity from an independent producer under a PPA, which may require limited upfront capital, with price, volume and supply terms agreed contractually and flexibility depending on those terms.

- **Strategic alignment:** an additional PPA advances the POWER priority by securing more renewable electricity, reducing reliance on a constrained grid and lowering the environmental impact that customers and stakeholders increasingly scrutinise. This matters because it supports sustainability-driven contract wins and reduces long-term power risk with little capital.
- **Capital-light structure:** a PPA needs only limited upfront capital because Axion buys electricity rather than building a plant. This matters because it preserves scarce cash and debt capacity for capacity-generating investments such as JHB4.
- **Financial evaluation:** compare the contracted PPA price and its escalation against expected grid tariffs, and against the risk of paying for electricity not used before new data-centre capacity is contracted. This matters because the value depends on price certainty weighed against the risk of over-committing to power ahead of demand.
- **Accounting and structuring:** assess whether the PPA contains a lease, is an own-use executory purchase or a derivative, how renewable-energy certificates are treated, and whether a long-term offtake improves cost visibility at the cost of long escalation exposure. This matters because the classification changes how the arrangement affects the balance sheet and profit or loss.
- **Commitment and reliability limits:** long-term take-or-pay pricing and escalation, and the fact that renewable generation does not replace the grid connection, UPS, batteries and backup generators. This matters because committing to power volumes before facilities are utilised can destroy value, and backup investment must continue regardless.
- **Overall impact and verdict:** an additional PPA is a low-capital, sustainability-positive way to secure renewable power and should be sized to contracted demand rather than the full 2030 ambition, so that it strengthens the customer proposition and cost profile without creating stranded power commitments.

Investment 6 — Direct investment in generation capacity (POWER)

What it is: Investing directly in a renewable-energy generation project, potentially with an experienced technical partner, which requires upfront capital and a funding structure, and in which Axion participates in the project's risks and returns with greater involvement in construction, operations and governance.

- **Strategic alignment:** building or co-owning generation gives Axion the greatest control over the cost and security of a key input, supporting both the 99.999% reliability proposition and its sustainability position. This matters because it offers the most long-term control of power cost and risk, but it is capital-intensive.
- **Capital intensity and funding:** direct generation needs large upfront capex and an appropriate funding structure, and it carries construction and operating risk. This matters because it consumes scarce capital and adds execution risk compared with simply signing a PPA, so it competes directly with capacity investments for funding.
- **Financial evaluation and the tax shield:** appraise on incremental cash flows including avoided grid cost and any electricity sold, and crucially the accelerated allowances renewable-generation assets may attract under sections 12B, 12BA or 12U referenced through the SARS guide. This matters because the tax allowances can materially improve the after-tax NPV and may tip the decision, but only where ownership, asset and first-use eligibility are genuinely supported.
- **Competency and technology risk:** operating a power plant sits outside Axion's core competency of running data centres, and construction and technology risk are real, which is why the pre-release contemplates an experienced technical partner. This matters because it raises execution risk, which a credible partner mitigates.
- **Resilience limitation:** renewable generation does not replace the grid connection, UPS, batteries or backup generators. This matters because Axion must continue to invest in backup regardless, so generation supplements rather than replaces existing power investment.

- **Overall impact and verdict:** direct generation offers the highest control and the strongest sustainability and tax benefits, but it is capital-heavy and outside Axion's core skills, so it is justified only where scale and the section 12B or 12BA tax shield make the NPV clearly positive and a credible technical partner reduces the delivery risk; otherwise a PPA achieves much of the benefit with far less capital.

Investment 7 — Off-site generation and wheeling (POWER)

What it is: Sourcing renewable electricity generated elsewhere and supplied to an Axion facility through the electricity network under a wheeling arrangement, where the power is allocated at an agreed metering point — used where land and network constraints limit on-site generation.

- **Strategic alignment:** wheeling lets Axion access renewable power generated off-site where on-site land or network capacity is limited, extending the POWER and sustainability strategy to facilities that could not otherwise be greened. This matters because it unlocks renewables without needing on-site space.
- **Financial evaluation:** weigh the network and wheeling charges, transmission losses, curtailment and electricity generated but not used against the price benefit of the renewable source. This matters because these frictions can erode the saving, so the net benefit must be modelled rather than assumed.
- **Regulatory and grid risk:** wheeling depends on the regulatory framework, the agreed metering point and grid availability, all of which can change in South Africa. This matters because the value is sensitive to evolving electricity regulation and grid constraints.
- **Overall impact and verdict:** wheeling is a useful flexibility option where on-site generation is impractical, but it should only proceed where the wheeling charges and transmission losses still leave a real, modelled saving, so that it advances the sustainability and cost strategy without a hidden net cost.

PART D — EACH AXION FUNDING OPTION, ASSESSED

The pre-release lists three funding options under consideration for the next phase of growth: additional debt, investment from existing shareholders, and investment from a new strategic investor. Each is assessed below in the same format and depth, remembering the pre-release's own principle that the funding should reflect the specific project.

Funding option 1 — Additional debt (including ring-fenced project facilities)

What it is: Borrowing more, either at group level (extending facilities or issuing a bond) or through a dedicated project facility like JHB4's R1.2bn syndicate loan, repaid with interest from cash flows.

- **Cost and tax shield:** debt is the cheapest source because lenders rank ahead of shareholders and interest is tax-deductible, and it preserves existing ownership and control. This matters because cheaper funding lowers the hurdle a project must clear and keeps the founders', the Trust's and the institutions' stakes intact.
- **Effect on gearing and interest cover:** Axion's borrowings have already risen from R3 150m to R4 850m and interest cover has fallen from 2.04 to 1.87 times, so further debt increases financial risk and adds fixed finance cost payable regardless of how quickly capacity is contracted. This matters because it weakens the financial position and reduces resilience if utilisation lags.
- **Project-level structuring and risk:** a dedicated project facility (as used for JHB4) matches long-term debt to a long-life asset and can be drawn against the contractor schedule, but the pre-release warns that guarantees, security and covenants can transfer the risk back to the group. This matters because ring-fencing limits risk only in substance, not merely in legal form, and drawing ahead of need creates a real negative carry.
- **Covenants, security and flexibility:** more debt is likely to tighten covenants and security and to use up the borrowing headroom needed for the rest of the R3–R5bn pipeline. This matters because a covenant breach could accelerate repayment, and lost headroom limits future value-adding investment.
- **Overall impact and verdict:** additional debt is cheap and control-friendly but should be used sparingly given Axion's already-elevated gearing and thinning cover; it is best reserved, in ring-fenced project form, for lower-risk investments with predictable, contracted cash flows — such as filling existing capacity or a well-contracted JHB4 phase — rather than for the group's riskiest projects.

Funding option 2 — Investment from existing shareholders

What it is: Raising equity from the current shareholders — Ubuntu Infrastructure (35%), Horizon Digital Infrastructure Fund (30%), founder-CEO Kabelo Moleke (18%), the Axion Employee & Empowerment Trust (10%) and co-founder David Low (7%) — for example through a rights issue in proportion to holdings.

- **Control and balance-sheet effect:** a proportional rights issue raises equity without an outsider and without adding debt or covenants, keeping the existing ownership proportions and strengthening the balance sheet. This matters because it avoids diluting control and improves the capacity to borrow later for the rest of the pipeline.
- **Cost and willingness:** equity is more expensive than debt, and existing shareholders may be unwilling or unable to inject further capital of the R3–R5bn scale required. This matters because the funding may not fully materialise, leaving the growth programme short.
- **Fairness to the Employee & Empowerment Trust:** the Trust holds 10% but may lack the cash to follow its rights, which could dilute it and undermine the empowerment objective unless the issue is structured to protect it. This matters because it raises stakeholder-fairness and King V governance concerns that the board must manage consistently.
- **Overall impact and verdict:** shareholder equity is the safest funding for Axion's financial position because it lowers gearing and preserves control proportions, and it is well suited to funding equity-heavy or higher-risk investments such as direct generation; its main constraints are shareholders' appetite and the need to protect the Empowerment Trust's stake.

Funding option 3 — Investment from a new strategic investor

What it is: Issuing new shares to an outside strategic investor in digital infrastructure who brings capital together with expertise, relationships and possible access to further funding.

- **Capital plus capability:** a strategic investor can provide the large capital the R3–R5bn programme needs, along with industry expertise and customer relationships, while adding equity rather than debt. This matters because it can accelerate growth and strengthen the financial position at the same time, without worsening gearing or interest cover.
- **Dilution and control:** a new investor dilutes existing shareholders and the founder's 18% influence, and will likely seek board representation, veto rights and a say in strategy. This matters because the loss of control can be as significant to the founders and existing institutions as the capital is valuable, and Axion is deliberately moving from founder-led to institutionally backed.
- **Conflicts and governance:** bringing in an investor engages the Companies Act (a share issue, any financial assistance, and the solvency-and-liquidity test) and heightens conflict management, especially as the Investment Committee is already chaired by Ubuntu's investment director and the institutional investors hold director-nomination rights. This matters because a flawed process can invalidate the transaction and expose directors, and existing shareholders' pre-emption and information rights must be respected.
- **Overall impact and verdict:** a strategic investor is the strongest way to fund the full ambition of the 2030 programme because it adds both capital and capability without raising gearing, but it carries the greatest control, governance and conflict implications, so its non-financial terms — board seats, vetoes, information rights and exit — must be negotiated as carefully as its price.

Bringing the two decisions together (conclusion)

The investment and funding decisions cannot be separated, which is why the pre-release insists that funding should reflect the project. Each project should first be shown to create value on its incremental pre-tax cash flows at a project-specific rate, and only then funded in a way that keeps Axion's gearing, interest cover and control within acceptable limits. Given Axion's already-elevated borrowings and declining interest cover, the most defensible plan is to prioritise the highest-return, lowest-risk investments first (filling existing capacity and the capital-light interconnection and PPA options), fund large discrete builds like JHB4 through ring-fenced project debt matched to contracted cash flows, and raise fresh equity from existing shareholders or a new strategic investor for the equity-heavy or higher-risk investments such as direct generation — so that Axion grows its contracted capacity and profitability while protecting its financial position and its ability to fund the rest of the pipeline. A competent answer weighs these factors and makes a clear, reasoned recommendation rather than listing them.